

PRA Glossary - U

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PRA Glossary - U

UCITS

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) an undertaking: (a) with the sole object of collective investment in transferable securities or in other liquid financial instruments of capital raised from the public and which operate on the principle of risk-spreading; and (b) with units which are, at the request of holders, repurchased or redeemed, directly or indirectly, out of those undertakings' assets (and for these purposes, action taken by the undertaking to ensure that the stock exchange value of its units does not significantly vary from their asset value is to be regarded as equivalent to such repurchase or redemption). (2) undertakings for collective investment in transferable securities that are established in the European Economic Area in accordance with the UCITS Directive.

UCITS Directive

means the European Parliament and Council Directive of 13 July 2009 on the coordination of laws, regulations and administrative provisions relating to undertakings for collective investment in transferable securities (UCITS) (No 2009/65/EC) as amended.

UCITS management company

has the same meaning as given to 'management company' in section 237 of FSMA.

UK

means United Kingdom.

UK bank

means a UK undertaking that has permission under Part 4A of FSMA to carry on the regulated activity of accepting deposits and is a credit institution, but is not a credit union, friendly society or a building society.

UK consolidation group

means the consolidation group of a firm to which supervision on a consolidated basis by the PRA applies.

UK designated investment firm

means a UK undertaking that is a designated investment firm.

UK firm

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) has the meaning given in paragraph 10 of Schedule 3 to FSMA (EEA Passport Rights); (2) in the Depositor Protection part and Policyholder Protection part, means an authorised person who: (a) has permission given under Part 4A of FSMA to carry on regulated activities that consist of or include one or more PRA-regulated activities; and (b) is incorporated in the UK.

UK holding company

means an insurance holding company or mixed financial holding company that: (1) is incorporated in the UK; or (2) has a place of business in the UK.

UK ISPV

means an undertaking with a Part 4A permission to carry on the regulated activity of insurance risk transformation.

UK parent financial holding company

This defined term is effective from 23:00 on 31/12/2020. means a financial holding company firm in the UK which is not itself a subsidiary of an institution authorised in the UK, or of a financial holding company firm or mixed financial holding company set up in the UK.

UK parent institution

This defined term is effective from 23:00 on 31/12/2020. means a parent institution authorised in the UK which has an institution or financial institution as subsidiary or which holds a participation in such an institution or financial institution, and which is not itself a subsidiary of another institution authorised in the UK or of a financial holding company or mixed financial holding company set up in the UK.

UK parent mixed financial holding company

This defined term is effective from 23:00 on 31/12/2020. means a mixed financial holding company in the UK which is not itself a subsidiary of an institution authorised in the UK, or of a financial holding company firm or mixed financial holding company set up in the UK.

UK parent undertaking

This defined term is effective from 23:00 on 31/12/2020. means a UK parent institution, a UK parent financial holding company or a UK parent mixed financial holding company.

UK Solvency II firm

has the meaning given in Insurance General Application 2.

UK undertaking

means an undertaking within the meaning of section 1161(1) of the Companies Act 2006 (meaning of "undertaking" and related expressions) whose registered office or, if the undertaking does not have a registered office, whose head office

is in any part of the UK.

UK-adopted international accounting standards

This defined term is effective from 23:00 on 31/12/2020. has the meaning given to it in section 474(1) of the Companies Act 2006.

unconsolidated entity

means an undertaking other than an excluded entity, including, but not limited to: (1) SSPEs (as defined in Article 4(1)(66) of the CRR); (2) asset management companies (as defined in Article 4(1)(19) of the CRR); (3) financial institutions; (4) ancillary services undertakings (as defined in Article 4(1)(18) of the CRR); (5) suppliers under material outsourcing arrangements; and (6) where the firm is a member of a consolidation group, undertakings that have been included within the scope of prudential consolidation on a proportional consolidation basis and those that have been consolidated using the equity method.

undertaking

means an undertaking within the meaning of section 1161(1) of the Companies Act 2006 (meaning of "undertaking" and related expressions).

undertaking specific parameters

means, for the purposes of determining the SCR using the standard formula, a parameter specific to a firm, calculated in accordance with Solvency Capital Requirement - Undertaking Specific Parameters, that replaces a standard parameter (within a subset of parameters in the life underwriting risk module, non-life underwriting risk module or health underwriting risk module).

underwriting member

means a person admitted to the Society as an underwriting member.

underwriting risk

means the risk of loss or of adverse change in the value of insurance obligations, due to inadequate pricing and provisioning assumptions. [Note: Art. 13(30) of the Solvency II Directive]

unit

means: (1) (in relation to a collective investment scheme) the investment, specified in article 81 of the Regulated Activities Order (Units in a collective investment scheme) and defined in section 237(2) of FSMA (other definitions); and (2) (in relation to an alternative investment fund) the right or interest (however described) of an investor in an alternative investment fund.

United Kingdom

This term is defined externally, please refer to: Interpretation Act 1978 Schedule 1

unregulated activity

means an activity that is not a regulated activity.

USP firm

means a firm that has been granted a USP Permission.

USP method

in relation to a USP firm, means the method specified in Solvency Capital Requirement - Undertaking Specific Parameters 2.3 for calculating the undertaking specific parameter in respect of which the firm has been granted a USP Permission.

USP Permission

means the permission to apply an undertaking specific parameter granted to a firm by the PRA pursuant to section 138BA of FSMA.